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FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

May 21, 1992

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM, ET AL.

v.

**SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.**

**COMPLAINANTS' MOTION FOR SUMMARY JUDGMENT FOR
THE WEST COAST-GUAM TRADE PROVIDED BY
SEA-LAND SERVICE, INC. DENIED**

Complainants (GovGuam) have moved for summary judgment. Intervenor Military Sealift Command (MLSC) supports them, and urges further relief if liability is established. (See Appendix A.) Sea-Land Service, Inc. (Sea-Land) replied.

Preliminary Matter--Motion to Strike

Sea-Land prays that any reference to the vacated initial decision in *Hemisphere Navigation Co., Inc. v. Sea-Land Service, Inc.*, 24 SRR 1484 (Initial Decision F.M.C. 1989)

(*Hemisphere I.D.*), and the vacated and Not For Publication legal opinion in *Trailer Marine Transport Corp. v. Philadelphia Export Consolidators*, No. 88-4634 (D.N.J. 1991) (*TMT v. PEC*) be stricken from complainant's Memorandum in Support of the Motion for Summary Judgment. Both decisions were vacated and *TMT v. PEC* is labeled "Not For Publication." Sea-Land argues that a vacated opinion is of no precedential effect and that the same is true of decisions designated "Not For Publication."

GovGuam explains that reference was made to these cases not for their precedential value, but because they are instructive in a historical context to review the facts here. In the circumstances, GovGuam's reference to both cases in the described sense and not for their precedential value was proper and Sea-Land's motion to strike is denied.

Motion for Summary Judgment

GovGuam seeks the following findings:

1. Sea-Land continued to receive containers bound for Guam at the gate of its marine container yards at both the ports of Long Beach and Oakland after it no longer had a tariff on file at the FMC and that these shipments are subject to the exclusive jurisdiction of the FMC.

2. Sea-Land itself received containers bound for Guam that were delivered to California Cartage Company (Cal Cartage) marine terminal and all shipments which passed through the Cal Cartage marine terminal are subject to the exclusive jurisdiction of the FMC. In the alternative, Cal Cartage was not the trucking company transporting containers bound for Guam from its facility; its only service was acting as an off-dock marine terminal

facility; the truckers actually transporting the containers were not participants in Sea-Land's ICC tariffs; and all shipments which passed through Cal Cartage were subject to the exclusive jurisdiction of the FMC.

3. Sea-Land Motor Freight, Inc. (SLMF), did not receive containers bound for Guam delivered to either of Sea-Land's off-dock container yards in Oakland and Long Beach; the containers delivered to these facilities were actually delivered to Sea-Land; and all such containers moved subject to the exclusive jurisdiction of the FMC.

4. SLMF is not an independent trucking company able to participate in a valid joint-through service with Sea-Land but is merely Sea-Land itself providing marine terminal services at its off-dock container yards; and all containers bound for Guam moved by SLMF are subject to the exclusive jurisdiction of the FMC.

5. Sea-Land, as a matter of law, violated section 18 of the shipping Act, 1916, and section 2 of the Intercoastal Shipping Act, 1933, by not having a tariff on file at the FMC for all such shipments bound for Guam, and Sea-Land shall be required to file a tariff at the FMC for its West Coast to Guam trade.

6. The movants in this case are entitled to reparations equal to the amount they paid for all shipments within the FMC's jurisdiction which were in excess of those rates Sea-Land is able to demonstrate are just and reasonable. See also MLSC's argument for further relief in Appendix A.

GovGuam contends (at p. 217) that:

Sea-Land may not argue that summary judgment is inappropriate because determinations concerning how shipments move are to be made on a shipment by shipment basis. To the extent that this procedure is ever

applicable, it could not apply in this case. Movants have demonstrated conclusively that for a lengthy period of time Guam shipments were received at the gates of Sea-Land's marine container yards. Even today some shipments are received at the marine container yards, especially in Oakland. Summary judgment may be entered finding that such shipments occurred without a tariff on file at the FMC in violation of the Shipping Act and Intercoastal Act. Sea-Land then should carry the burden of proving if any shipments were not delivered to the gates at a subsequent evidentiary hearing.

Similarly, in regard to Cal Cartage, if the Judge finds that Cal Cartage operated as a marine terminal and received containers on behalf of Sea-Land at an off-dock container yard, a summary judgment Order is appropriate covering all such shipments. Alternatively, the Judge could base summary judgment on a finding that Cal Cartage did not transport the containers itself and was actually receiving them on Sea-Land's behalf before turning them over to K&R Transportation. In both cases, summary judgment is appropriate since all such shipments are subject to the exclusive jurisdiction of the FMC and a tariff should have been on file.

Finally, if the Judge finds either that SLMF did not receive containers but that they were received by Sea-Land itself or that SLMF is not an independent company able to enter into a contract with Sea-Land, as a matter of law, all shipments purportedly handled by SLMF have moved port-to-port and are within the jurisdiction of the FMC. Alternatively, the Judge could find that any service provided by SLMF was actually a marine terminal service at marine terminal facilities operated by Sea-Land. Marine terminal operations are within the exclusive jurisdiction of the FMC.

For all of the foregoing reasons, movants respectfully request that summary judgment be entered and that the Judge order an evidentiary hearing to determine damages and reparations.

The proper standard to be applied in the disposition of a motion for summary judgment was stated in the March 25, 1992, order denying GovGuam's motion for summary judgment regarding the Hawaii-Guam trade. GovGuam does not cite to any different standard in its present motion. For convenience, the standard is set forth next.

In ruling on a motion for summary judgment, the task is to determine whether a genuine issue exists as to any material fact. *United States v. Diebold, Inc.*, 369 U.S. 654, 655

(1962); *Sherwood v. Washington Post*, 871 F.2d 1144, 1145-46 (D.C. Cir. 1989); *Associated Electric Coop, Inc. v. Morton*, 507 F.2d 1167, 1178 (D.C. Cir. 1974), *cert. denied*, 423 U.S. 830 (1975). Where a genuine issue exists as to any material fact, summary judgment must be denied. *Board of Education v. Pico*, 457 U.S. 853, 872 (1982); *Popham, Haik, Schnobrich, Kaufman & Doty, Ltd. v. Newcomb Secur. Co.*, 751 F.2d 1262, 1263, 1266 (D.C. Cir. 1985).

The party moving for summary judgment, in this case GovGuam, has the burden of showing, by credible evidence, the absence of a genuine issue as to any material fact, and that it is entitled to judgment as a matter of law. *Adickes v. S.H. Kress & Co.*, 398 U.S. 144, 157 (1970); *McKinney v. Dole*, 765 F.2d 1129, 1134-35 (D.C. Cir. 1985); *Bouchard v. Washington*, 514 F.2d 824, 827 (D.C. 1975). All inferences to be drawn from the underlying facts contained in the evidentiary materials must be viewed in the light most favorable to Sea-Land, the party here opposing the motion. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 255 (1986) (*Liberty Lobby*); *United States v. Diebold*, 369 U.S. at 655; *America First Inv. Corp. v. Goland*, 925 F.2d 1518, 1522 (D.C. Cir. 1991).

Where the evidence demonstrates a genuine dispute on any issue of fact that is material to the moving party's claim, or where the moving party's evidence is lacking in credibility, summary judgment may not be granted. See *Sartor v. Arkansas Natural Gas Corp.*, 321 U.S. 620 (1944) (reversing grant of summary judgment for defendant where affidavits submitted by defendant had been given by interested or biased witnesses); *Mazaleski v. Treusdell*, 562 F.2d 701, 717 (D.C. Cir. 1977) (summary judgment generally inappropriate in cases where motivation of party or witness is at issue and credibility is of critical importance). See also *Celotex Corp. v. Catrett*, 477 U.S. 317 (1986) (*Celotex*), and

Riddell v. Riddell Washington Corp., 866 F.2d 1480, 1484-85 (D.C. Cir. 1989) (court of appeals will review district court record *de novo* on grant of summary judgment to determine if the standards set forth in *Liberty Lobby* and *Celotex* have been met).

A motion for summary judgment may not be granted merely on the basis of purported statements of fact in a moving party's brief, even if such statements are uncontroverted by the party opposing the motion. *Chambers v. U.S.*, 357 F.2d 224, 228 (8th Cir. 1966); *Guerrero v. American-Hawaiian S.S. Co.*, 222 F.2d 238 (9th Cir. 1955) (assertions in motion); *Wittlin v. Giacalone*, 154 F.2d 20, 81 (D.C. Cir. 1946) (same); *Weiss v. Feigenbaum*, 558 F.Supp. 265, 269 n. 1 (E.D.N.Y. 1982). 10A Wright & Miller, *Federal Practice and Procedure*, sec. 2723 (1983). To the contrary, as stated above, summary judgment is proper only if the pleadings, depositions, answers to interrogatories, and admissions on file, together with the affidavits, if any, show that there is no genuine issue as to any material fact, and that the moving party is entitled to a judgment as a matter of law. See *Celotex*, 477 U.S. at 322. Therefore, it is critical that a party moving for summary judgment submit, in proper form, the materials it believes demonstrate the absence of a genuine issue of material fact. *Celotex*, 477 U.S. at 323.

To the extent that the moving party relies upon documentary evidence in support of its motion, the documents submitted as exhibits must be properly authenticated. *Hal Roach Studios v. Richard Feiner and Co.*, 896 F.2d 1542, 1551 (9th Cir. 1990) (district court erred in relying upon document attached to affidavit of counsel); *Cummings v. Roberts*, 628 F.2d 1065 (8th Cir. 1980) (documents not "certified" should not be considered); *Macklin v. Butler*, 553 F.2d 525 (7th Cir. 1977) (exhibits merely attached to "supporting memorandum" not a

proper basis for ruling on motion for summary judgment). See generally 10A Wright & Miller, sec. 2722 (1983). Thus, such documents must be sponsored by testimony, or by an affiant, through whom the exhibits could be admitted into evidence. *Ramsay v. Cooper*, 553 F.2d 237 (1st Cir. 1977); *U.S. v. Dibble*, 429 F.2d 598 (9th Cir. 1970); *Walpert v. Bart*, 280 F.Supp. 1006, 1010 (D.Md. 1967), *aff'd*, 390 F.2d 877 (4th Cir. 1968). Sworn or certified copies of all papers referred to in an affidavit must be attached to or served with the affidavit. *Washington Post Co. v. Keogh*, 365 F.2d 965, 971 (D.C. Cir. 1966), *cert. denied*, 385 U.S. 1011 (1967; Fed. R. Civ. P. 56(e)).

Despite emphasis of different factors, agreement as to the law of the case can be gleaned from the fact that the parties agree that the existence of a properly drafted intermodal tariff filed at the I.C.C. arguably creates a presumption that any service provided under that tariff was truly joint through service, but the mere filing of a tariff with an agency does not vest that agency with jurisdiction over a route; rather, jurisdiction turns, in addition to the holding out, on the nature of the route itself which is a question of fact and depends on the nature of the transportation service provided. Also, appraisal may be made of any material factors comprising the "course of business" followed by the carrier with respect to the shipments in issue. (Gov Guam motion, pp. 160-164; Sea-Land reply, pp. 22-28.) Clearly, all the transportation circumstances and conditions in connection with the tariff and the issue shipments can be examined.

Both parties cite *Puerto Rico Maritime et al.--Pet. for Declar. Order*, 7 I.C.C. 2d 205 (1990). One specific issue was whether particularly described services performed on marine terminal grounds (so-called "inside-of-the-fence" motor carrier operations) are legitimate

motor operations that produce a joint, through intermodal service subject to I.C.C. jurisdiction. *Id.* at 208.

The decision concluded that the motor services are properly viewed as an expression of the loading and unloading of the vessels and as such not the type of motor service that confers jurisdiction on the I.C.C. over through intermodal service. *Id.* at 213.

The services involved were described in detail. Puerto Rico Maritime Shipping Authority (PRMSA) is a water common carrier operating between Puerto Rico and the continental United States. PRMMI Trucking, Inc. (PTI), a motor carrier, is a PRMSA subsidiary created to enable PRMSA to conduct joint-rate, through route service. PRMSA and PTI share their terminal facilities (the marine terminal yards). PTI leases all of its equipment from PRMSA. When PTI uses the equipment, it is placarded to show it is operated by PTI. PTI's drivers are employees of PRMSA's operating and management agent, Puerto Rico Marine Management, Inc. (PRMMI). PTI leases the drivers' services along with the equipment. PTI limits itself exclusively to service in conjunction with PRMSA.

Shippers deliver containerized freight directly to the marine terminal. When an outbound container arrives at the marine terminal gate, it is passed into the facility by a "checker" acting for PTI. The checker inspects documents and acknowledges delivery of the goods and of a combined inland/ocean bill of lading bearing the information supplied by the shipper. The checker then directs the shipment to a trailer interchange area where a receipt is given acknowledging delivery of the transportation equipment. The container and its contents are weighed, and the delivering driver is then directed to an assigned and

numbered parking position in the marine terminal container yard. The personnel dealing with the driver act on behalf of PTI. PTI later transports the container from its place of rest within the terminal to a shoreside crane pickup point or directly aboard a ship. (Apparently, some containers are moved directly to shipside in connection with delivery to the terminal. It is unclear whether the delivering driver or PTI itself performs these movements.)

The length of PTI's hauls varies from a few hundred yards to more than half a mile depending on the size of the terminal facility and the particular point of rest from which the PTI movement begins. The petitioners indicate that longer distances may be involved "in those infrequent instances" in which PTI transports a container between the marine terminal and a warehouse or a rail ramp elsewhere in the port area. In no instances does the record show PTI travel outside the commercial zone of a particular port city.

PTI's services are embraced within the combined bill of lading PRMSA uses to bill shippers. PTI does not bill shippers. PRMSA does the billing and collects freight charges for each shipment. PRMSA settles with PTI for its agreed portion of the revenue on a monthly basis. (PTI receives a flat dollar rate for each container it transports for PRMSA.) The carriers also make monthly settlements covering the amounts PTI owes PRMSA for the lease of vehicles and for drivers' services.

Recognizing that it is the water carrier's obligation to unload cargo onto a dock and put it at a place of rest accessible to the consignee, that decision (quoting a court decision) noted that the work of unloading and putting the cargo on the dock is done on behalf of the carrier by longshoremen or by stevedoring companies under contract with the carriers, these stevedores employing longshoremen. *Id.* at 213.

The movement of cargo containers by small motor vehicles between shipside and either the terminal gate or a "place of rest" inside the marine terminal as described is essentially a part of the loading and unloading function. This is functionally interchangeable with the work done by longshoremen. The services shippers receive from PTI and PRMSA within the marine terminal do not differ from the usual terminal services provided by the port-to-port water carriers alone. *Id.* at 214.

The decision also states as follows:

We recognize that it is the nature of the holding out, rather than the physical characteristics of a service alone, that generally determines whether and how an operation is regulated. Thus, a motor operation could be subject to FMC regulation if it is held out as part of a pickup and delivery service provided for in a water carrier's tariff, while the same operations could be subject to ICC jurisdiction if the motor carrier holds itself out as a joint venturer with the water carrier. [Citations omitted.] But that principle only applies to motor services that can be held out either by an independent motor carrier or contracted for by a water carrier. It does not apply to services that are *required* of a carrier in order to carry out its water common carrier responsibilities. [Emphasis by I.C.C.]

The decision also observed that shippers were not aware they were dealing with an entity other than the water carrier PRMSA; that PRMSA bills the shippers and collects the payments; that no true motor common carrier service was rendered there; and that "we do not see a course of business that suggests that shippers receive from PTI anything that they would not receive from PRMSA under its port-to-port tariff." Clearly, such an analysis of Sea-Land's method of operation requiring a detailed factual scrutiny cannot be made in the context of the present motion where so many crucial facts are contested but must await evaluation of the complete record.

GovGuam concedes that (1) Sea-Land's tariff, ICC SEAU 539, covered shipments to Guam from inland points not located on the West Coast. Shipments under this tariff are not at issue in this summary judgment motion (GovGuam Memo at 18, n. 15); (2) that some containers are picked up directly from a shipper's facility (called "zone pick-ups" by Sea-Land) by independent ICC-certificated carriers listed in Sea-Land's tariffs, and delivered to Sea-Land. Except to the extent these containers are picked up by SLMF, movants do not challenge these shipments as being within the FMC's jurisdiction. (GovGuam Memo at 20 and 21.)

In summary, all shipments moving under Sea-Land's ICC SEAU 539 tariff and all zone pick-ups other than those performed by Sea-Land Motor Freight are conceded by GovGuam to be outside this proceeding.

(There does not appear to be any basis for FMC jurisdiction over traffic moving under Sea-Land's ICC SEAU 538 tariff that originated at Sea-Land's off-dock facility at Tacoma, WA, and was then trucked or railed hundreds of miles down to Oakland by ICC-certified carriers before being loaded on a Sea-Land vessel destined for Guam.)

There remain principally two types of shipments in dispute:

(1) Shipments under Sea-Land's ICC 538 tariff that allegedly were received by Sea-Land from the shipper's trucker directly at Sea-Land's marine terminals in Oakland and Long Beach (Inside the Gate shipments); and

(2) Shipments under Sea-Land's ICC 538 tariff allegedly received at off-dock motor carrier facilities (Cal Cartage and SLMF in Long Beach, and SLMF in Oakland) and then

trucked allegedly by an ICC-certificated trucker at Sea-Land's expense, over a public thoroughfare, to Sea-Land's marine terminal (Outside the Gate shipments).

GovGuam contends that there are 64 uncontested material facts. Sea-Land's disagrees. Its position is shown on a chart it has furnished disputing certain of the material facts. (See Appendix B.) For example, GovGuam contends (in Fact No. 4) that Sea-Land had received, at least into the spring or summer of 1990, Guam-bound containers at the gate at its marine container yards at both the ports of Oakland and Long Beach which were delivered to these gates by trucking companies not in Sea-Land's tariffs. Sea-Land argues that it is untrue for the vast majority of shipments. This points to a fundamental difference in the theory of the case by the parties and pits the testimony of the respective supporting witnesses against each other and cannot be resolved in a motion for summary judgment. The same conclusion would apply as to the questions posed by No. 6 as to the quantity of shipments moving from Sea-Land's container freight station to its marine container yard at Oakland without moving over a public road. Other disputed facts concern Sea-Land's modus operandi, including use of a multitude of transportation documents such as receipts furnished at gates to receiving points, equipment interchange receipts and truckers hand tags, and the legal conclusions to be drawn from them. The dispute as to so many material facts as shown also by Appendix B precludes grant of the motion for summary judgment.

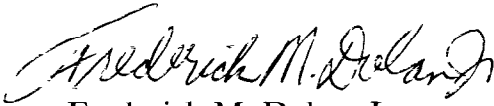
IT IS ORDERED:

(1) Complainants' motion for summary judgment for the West Coast-Guam trade provided by Sea-Land Service, Inc. is denied.

(2) All shipments under Sea-Land's tariff, ICC SEAU 539, moved to Guam from inland points not located on the West Coast, are conceded by GovGuam not to be in issue in this proceeding.

(3) Those containers which are picked up directly from a shipper's facility (called "zone pick-ups" by Sea-Land) by independent ICC-certificated carriers, other than Sea-Land Motor Freight, and listed in Sea-Land's tariffs and delivered to Sea-Land are conceded by GovGuam not to be in issue in this proceeding.

(4) There does not appear to be any basis for FMC jurisdiction over traffic moving under Sea-Land's ICC SEAU 538 tariff that originated at Sea-Land's off-dock facility at Tacoma, WA, and was then trucked or railed hundreds of miles down to Oakland by ICC-certificated carriers before being loaded on a Sea-Land vessel destined for Guam. In the circumstances, such shipments are not in issue in this proceeding.


Frederick M. Dolan, Jr.
Administrative Law Judge

Appendix A

Military Sealift Command's Argument for Relief

The FMC has stated that, in domestic commerce, the failure to file tariffs, standing alone, is not a sufficient basis for Complainants to be awarded reparations for the full amount of the rates unlawfully collected. See *First International Development Corp. v. Ship's Overseas Service, Inc.*, 20 SRR 209, 213 (F.M.C. 1980), rev'd on other grounds *sub nom.*, *Ship's Overseas Service, Inc. v. F.M.C.*, 670 F.2d 304 (D.C. Cir. 1981) ("*FIDCO*"). The remedy that is theoretically available to an aggrieved shipper is that the FMC may determine what is a just and reasonable charge for the service rendered and order reparations for any amount collected in excess of that rate. *Id.* at 20 SRR 213 n. 9. (It is noted that this is essentially the relief demanded by Complainants in the Motions for Summary Judgment, albeit shifting the burden of proof to Sea-Land to establish reasonable charges.) However, in this case, the finding that Sea-Land's service is subject to FMC jurisdiction would be made in the context of a shipper complaint case already challenging the reasonableness of Sea-Land's rates. Therefore, under this theory, the Complainants would be entitled to no separate amount of reparations for Sea-Land's failure to file FMC tariffs. Such a result is inadequate because, as has been noted by the FMC, the carrier should not be allowed to collect and retain the fruits of its unlawful acts. *Id.* at 20 SRR 304.

If Sea-Land's untariffed rates are only held to the otherwise applicable standard of reasonableness relevant to domestic offshore rate regulation, it will necessarily be allowed to enjoy a profit on its untariffed services. See 46 CFR 552.6(d).

Under the particular circumstances of this unique case, MSC submits that the FMC should fashion a meaningful remedy for Sea-Land's violation of its statutory responsibilities. The FMC should utilize the discretion granted it in section 22 of the Shipping Act, 1916, and devise a remedy whereby the Complainants are made whole for the wrongs committed against them by Sea-Land. *Consolo v. F.M.C.*, 383 U.S. 607 (1966); see also, e.g., *Matson Navigation Company - Proposed Rate Increases*, Docket Nos. 75-57 and 76-43, Order on Reconsideration, 21 F.M.C. 987, 992-993 (F.M.C. 1979); *Military Sealift Command v. Matson Navigation Company*, 21 SRR 459 (F.M.C. 1982). The shippers aggrieved by Sea-Land's unlawful conduct should not be forced to undertake such extraordinary litigation efforts only to have the opportunity to subject the carrier's rates to the same standard of reasonableness that would have otherwise applied if Sea-Land had complied with its statutory responsibilities. Such a result would only provide carriers in the domestic offshore trades with an incentive to engage in similar conduct if, in the final analysis, they are no worse off than if they had initially complied with the law. At a minimum, the Complainants should be awarded reparations in the amount of the additional litigation costs that Sea-Land forced them to incur to establish that Sea-Land's service to Guam is subject to FMC jurisdiction. See *Ace Machinery Co. v. Hapag-Lloyd Aktiengesellschaft*, 16 SRR 1531, 1534 (F.M.C. 1976). Admittedly, there has always been a wide divergence of views as to the appropriate remedy in cases involving the failure of a carrier to file a proper tariff, as was the case in *FIDCO*. However, the fundamental principle that the carrier should not retain the fruits of its unlawful acts points to the resolution of this issue arrived at in *FIDCO*, that is, the carrier

should only be able to retain its out-of-pocket expenses in providing the service and refund the balance to the shipper with interest from date of payment. *FIDCO*, 20 SRR at 214.

Accordingly, it is submitted that the Presiding Officer should enter an Order in this proceeding, pursuant to Rule 251 of the Commission's Rules of Practice and Procedure, 46 CFR 502.251, finding that Sea-Land violated section 18(a) of the Shipping Act, 1916, and section 2 of the Intercoastal Act, 1933, by providing service to Guam without a proper tariff on file with the FMC and awarding Complainants reparations in the amount of all revenues collected by Sea-Land for such shipments in excess of its provable out-of-pocket expenses, plus all litigation costs incurred by Complainants in establishing FMC jurisdiction over said service, plus interest on all amounts awarded as reparations from the date of initial payments made by Complainants. The parties should be given the opportunity to agree upon the amount of reparations due pursuant to the procedures set forth in Rule 251. In the absence of such agreement as to the amount of reparations, the Complainants should be given the opportunity to submit a reparations statement in accordance with Rule 252 of the Commission's Rules of Practice and Procedure, 46 CFR 502.252.

Appendix B

GOV GUAM'S ASSERTED "MATERIAL FACTS NOT IN ISSUE" (Pages xxi-xxv of the GovGuam Memo.)	SEA-LAND'S POSITION REGARDING GOV GUAM'S ASSERTED "MATERIAL FACTS NOT IN ISSUE"
"1. Sea-Land Service, Inc. ("Sea-Land") is an ocean common carrier in the business of transporting cargo between ports of call on the West Coast of the United States and Guam."	1. Sea-Land provides a point to port service. Sea-Land disputes the "ports of call on the West Coast" language to the extent that it suggests a "port to port" service.
"2. Sea-Land entered the Guam trade in 1987 and operated under the Guam Rate Agreement with a tariff on file with the Federal Maritime Commission ("FMC")."	2. This is correct.
"3. On June 23, 1989, Sea-Land withdrew from the Guam Rate Agreement and, thereafter, had no tariff on file with the FMC covering its West Coast-Guam trade."	3. This is substantially correct. Sea-Land did, however, have ICC tariffs on file covering its movements from the United States mainland to Guam.
"4. After terminating its participation in the Guam Rate Agreement, Sea-Land continued at least into the spring or summer of 1990 to receive Guam-bound containers at the gate at its marine container yards at both the ports of Oakland and Long Beach which were delivered to these gates by trucking companies not in Sea-Land's tariffs."	4. This may be correct for a certain number and minor proportion of shipments, but is completely untrue for others that constitute the vast majority of shipments. Those shipments that did move directly to Sea-Land's marine terminal yards at the shipper's expense were aberrations or service failures that occurred contrary to Sea-Land's tariffs and policies. Sea-Land has now substantially eliminated these initial problems with its ICC service. Therefore, taken as a whole and without qualification, this statement is untrue.

"5. When containers were delivered directly to the marine container yards in Oakland and Long Beach, the containers were received by and handled only by Sea-Land employees between the gate and the vessel."	5. The relevance and materiality of this asserted "fact" is not apparent. Moreover, this "fact" is not technically correct. Many of the personnel who received and handled cargo at the marine container yards are ILWU members employed by the Pacific Maritime Association (a multi-employer collective bargaining group), who are assigned to the Sea-Land terminal only for that day from the Union hiring hall. Others were employed as "steady" employees by Container Stevedoring Co., a Sea-Land affiliate.
"6. Sea-Land continues to receive less-than-container-load and oversize or bulk shipments bound for Guam at its container freight station in Oakland which is located adjacent to its marine container yard. When these shipments are moved into the marine container yard, they do not pass on a public road but pass directly through a gate between the two facilities."	6. Sea-Land disputes this asserted fact. Less-than-container-load (LCL) shipments <u>do</u> move out the gate and over a public road before entering the marine container yard. Oversize or bulk shipments also move out the gate and over a public road to the extent permitted by law. Where movement over a public road has not been possible due to load restrictions, certain oversize and overweight loads have moved through a gate between the two facilities. This is a minimal amount of cargo, and GovGuam has not shown that it has shipped any such cargo.

"7. Sea-Land's management and operational personnel at both ports knew that containers were being received at the marine container yard gate directly from shippers into the late spring of 1990."	7. This is correct only <u>after the fact</u>. Sea-Land's management and operational personnel became aware in March 1990 that service failures had occurred, and took progressively stronger measures to prevent further incidents of cargo moving directly into the marine terminal from shippers. In checking the effectiveness of these measures, Sea-Land's personnel did check for service failures at the gate. At no time did Sea-Land authorize such service failures.
"8. California Cartage Company, Inc. ("Cal Cartage") owns no trucks and it does not directly employ any truck drivers."	8. Cal Cartage participated in a joint through trucking service with Sea-Land by utilizing the owner-operator of K&R Trucking (Cal Cartage's wholly-owned subsidiary) pursuant to a sub-hauling agreement.
"9. Cal Cartage operates a container yard and CFS facility, functioning as a marine terminal subject to the exclusive jurisdiction of the FMC."	9. By providing trucking services for Sea-Land in the Guam trades from its off-dock CY, Cal Cartage does <u>not</u> function as "a marine terminal subject to the exclusive jurisdiction of the FMC." Rather, Cal Cartage functions as an ICC-tariffed motor carrier participating in Sea-Land's ICC motor-water tariff. GovGuam's statement contains an incorrect legal conclusion.

"10. Between June 23, 1989, and December 24, 1990, Cal Cartage never entered into a contract covering its participation in a joint-through service with Sea-Land to Guam."	10. Cal Cartage had a pre-existing contractual arrangement with Sea-Land (confirmed in a June 5, 1989 letter) covering Sea-Land's ICC-tariffed operations to Hawaii. This agreement was orally extended to Guam after June 23, 1989. Moreover, Cal Cartage's concurrence in Sea-Land's ICC tariff also constituted a "contract" covering its participation in Sea-Land's joint through service.
"11. Mr. Charles Slayman entered into an oral agreement with Sea-Land pursuant to which he intended to provide Sea-Land with an off-dock container yard."	11. This is substantially correct, although there are writings confirming and implementing this agreement. Cal Cartage provided off-dock CY facilities in conjunction with its participation as a motor carrier in Sea-Land's service to Guam.
"12. When Cal Cartage received Guam-bound cargo at its facility, it gave the shipper's truckers a Sea-Land gate receipt and a Sea-Land trailer interchange receipt."	12. Cal Cartage issued gate receipts on forms provided by Sea-Land, which bore Sea-Land's name at the top. Cal Cartage was, however, required to place its Cal Cartage stamp in the "trucking company" portion of this receipt in order to get paid by Sea-Land.
"13. A shipper's trucker received no Cal Cartage interchange documents."	13. Cal Cartage issued gate receipts on forms provided by Sea-Land, which bore Sea-Land's name at the top. Cal Cartage was, however, required to place its Cal Cartage stamp in the "trucking company" portion of this receipt in order to get paid by Sea-Land.

"14. After a shipper's trucker received the Sea-Land documents provided by Cal Cartage, these documents were turned over to K&R Transportation, Inc. ("K&R") which stamped them in and arranged for the delivery of the containers to Sea-Land's marine container yard in Long Beach."	14. This is incorrect. Cal Cartage provided the delivery to Sea-Land's marine container yard in Long Beach. To do this, Cal Cartage used trucks provided by its wholly-owned sub-hauler, K&R Transportation. All Sea-Land hauls were performed under Cal Cartage's ICC authority, and appropriate placards reflecting this were displayed on trucks supplied by K&R.
"15. K&R was not listed in Sea-Land's ICC SEAU 538 tariff or the 604-A routing tariff, nor had it entered into any concurrences with Sea-Land or Cal Cartage."	15. This fact is not material. As noted above, it was Cal Cartage, not K&R that performed the hauls in question using trucks supplied by K&R displaying Cal Cartage's ICC authority.
"16. When the shipping documents arrived at the Sea-Land gate, the gate receipts provided at Cal Cartage which usually listed the shipper's trucker's name, were regularly altered to show that the container had been delivered by Cal Cartage even though they were delivered by K&R or some other independent trucker."	16. This is not correct. Cal Cartage, using trucks supplied by K&R (or, rarely, other sub-haulers), performed all of the drays. It also is not correct that any document was "altered" in the sense suggested by GovGuam. It is correct that it was a common practice to re-use a copy of the gate receipt originally generated at Cal Cartage's facility for the purpose of Cal Cartage's onward movement to Sea-Land's marine terminal. In this circumstance, the name of the delivering carrier was changed on the gate receipt to reflect on-carriage by Cal Cartage, while all other information (such as container number) remained the same. This practice avoided re-copying of data onto new gate receipt forms.

"17. At times the Sea-Land gate receipts were not altered at the gate of the marine container yard and the shipper's trucker's name is the only name on the gate receipt."	17. This is correct. This means that there may have been an oversight by the person preparing the gate receipt. It does not necessarily mean that the shipper's trucker rather than Cal Cartage delivered the goods to the marine terminal.
"18. K&R billed Cal Cartage for hauling the same containers for which Cal Cartage billed Sea-Land."	18. This is correct, and is consistent with the sub-hauling arrangement between Cal Cartage and K&R.
"19. When K&R received road citations for hauling overweight containers bound for Guam between the Cal Cartage facility and the marine container yard, it billed Cal Cartage and then Cal Cartage billed Sea-Land."	19. This may be correct, but is of no apparent relevance or practical application to any particular shipment in this case.
"20. Sea-Land Motor Freight, Inc. ("SLMF") was organized as an in-house trucking company in part to avoid FMC regulation."	20. Sea-Land Motor Freight was organized in order to provide needed motor common carrier services in connection with Sea-Land's ICC-tariffed joint rate, through route services.
"21. SLMF was Sea-Land's truck dispatch office renamed."	21. Sea-Land disputes in its entirety this argumentative statement.
"22. All SLMF officers and directors have been, at the time they held office, employees of Sea-Land."	22. This is generally correct, if qualified to include companies related to Sea-Land. The relevance of this and other facts concerning SLMF's corporate organization to the jurisdictional issue is not apparent to Sea-Land.

"23. No SLMF officer or director was ever paid by SLMF."	23. It is correct that no officer or director of SLMF received any separate paycheck from SLMF. Nor did Sea-Land Service issue any separate pay check to cover services provided to SLMF by its officers or directors. There was, however, an administrative services agreement between SLMF and Sea-Land Service under which SLMF paid Sea-Land Service for certain administrative and managerial services. Further, the relevance of these pay arrangements is not apparent.
"24. The Board of Directors of SLMF never met in person."	24. Although relevancy of this point is contested by Sea-Land, it is not uncommon for board meetings to be conducted by telephone or for meetings to be waived by consent.
"25. The Board of Directors of SLMF never passed any resolutions concerning the operation of the business other than resolutions electing officers or approving prior activities."	25. This is not correct. The resolutions of the Board of Directors addressed many issues, and speak for themselves.
"26. Beginning August 2, 1989, through July, 1990, SLMF operated with directors who were not appointed pursuant to the by-laws."	26. This statement does not specify how SLMF's by-laws were supposedly violated, and it therefore is difficult for Sea-Land to respond. In any event, alleged by-law violations have no relevance to the FMC's jurisdiction over the cargo movements in question.

"27. SLMF did not have any employees until the spring of 1990 when Mr. Hoselton was transferred from Sea-Land in Long Beach. In Oakland, the first SLMF employee, Mr. Burson, was not transferred from Sea-Land until January of 1991. These employees' salaries are paid with Sea-Land funds."	27. This is generally correct (Mr. Burson testified that he was employed by Sea-Land Motor Freight in November, 1990) but irrelevant to the question of FMC jurisdiction over port-to-port cargo movements. The last sentence is incorrect, incomplete or misleading to the extent that it fails to mention that SLMF is charged by Sea-Land Service for the salaries and benefits of Messrs. Hoselton and Burson.
"28. Mr. McGonegle, the president of SLMF, did not fix the compensation of the SLMF employees. It was set by Sea-Land."	28. It is correct but irrelevant that Mr. McGonegle did not fix the compensation of Messrs. Hoselton or Burson. The compensation of SLMF employees was agreed to by SLMF and Sea-Land.
"29. Neither SLMF employee ever prepared any reports."	29. It is not clear what is meant by "reports". Depending upon the meaning assigned by GovGuam, this statement may be correct. It certainly is irrelevant.
"30. They reported directly to Sea-Land employees."	30. Sea-Land disputes the legal conclusion suggested by the word, "reported". It is correct, however, that Messrs. Hoselton and Burson worked closely with, and provided information to, employees of Sea-Land Service (some of whom may also have been officers or directors of SLMF).
"31. Sea-Land employees had supervisory responsibility for SLMF."	31. It is correct that employees of Sea-Land Service provided various supervisory services to SLMF pursuant to an administrative agreement. It also is correct that employees of Sea-Land Service had responsibilities that included supervising SLMF operations on behalf of Sea-Land Service.

"32. Mr. Newsom, acting as a director, elected Mr. Clancey as Chairman of SLMF prior to Mr. Newsom's being elected as a director."	32. This statement is irrelevant as well as incorrect and/or misleading.
"33. As of October 1991, SLMF had no bank account."	33. This is correct.
"34. SLMF had no financial records until November 1990, even though it supposedly had millions of dollars in revenues and expenses."	34. It is an overstatement to say that SLMF "had no financial records". It is correct that SLMF's books of account were not created until late 1990, using various business records to document previous expenses and revenues.
"35. Sea-Land is the sole shareholder of SLMF".	35. This is correct.
"36. SLMF had no capital and Sea-Land never paid cash for its stock subscription."	36. SLMF was capitalized with a debt owed by its parent company, Sea-Land Service. This debt is reflected on the books of both companies, as an asset for SLMF and as a liability for Sea-Land Service. Sea-Land Service has not made a cash transfer to SLMF to pay this debt. The relevance of this is not apparent.
"37. Mr. McGonegle never saw any financial statements on SLMF until the fall of 1991, and then he was only given one."	37. This may be correct, although Sea-Land may need to confirm this at Mr. McGonegle's upcoming deposition. The relevance of when Mr. McGonegle saw SLMF's financial statements to the FMC's jurisdiction over Sea-Land's cargo movements is not apparent.

"38. The financial statements show that SLMF had no cash."	38. This is correct. Because all of SLMF's financial dealings have been with its parent and sole shareholder, Sea-Land Service, the economic relationship between the companies has been effected by book transfers between the companies rather than check writing. This is normal practice in dealings between parent and wholly-owned subsidiary companies.
"39. Whenever SLMF needed cash to make a payment, such as corporate filing fees, Sea-Land provided the cash."	39. This is correct. Payments by Sea-Land Service were followed, however, by book transfer charge-backs to the account of SLMF where appropriate.
"40. Sea-Land and SLMF never reconciled their financial statements and no cash was ever paid by one to the other."	40. The financial statements of Sea-Land Service and SLMF have been reconciled. Because all inter-company payments have been effected by book transfer, it is correct (but irrelevant) that no cash payments have been made.
"41. Sea-Land admits that there is no separate line item on the CSX consolidated tax returns pertaining to SLMF."	41. This is correct for all of Sea-Land's wholly-owned subsidiaries, but has no relevance to this case.
"42. Sea-Land prepared all invoices to and from SLMF but they were never sent to any SLMF personnel."	42. This may be correct for Messrs. Hoselton and Burson, who were operational and not clerical employees. It may not be correct for SLMF officers or directors.
"43. Mr. McGonegle never saw any SLMF invoices."	43. This may be correct, although Sea-Land may need to determine at Mr. McGonegle's upcoming deposition the relevance of this point.

"44. SLMF and Sea-Land entered into six agreements: a Master Lease Agreement, a Division of Revenue Agreement, an Administrative Services Agreement, two Sublease agreements and an Intermodal Interchange Agreement."	44. This is correct. SLMF also executed a concurrence in the tariffs of Sea-Land Service.
"45. Mr. Nikkhoo signed all SLMF agreements except for the original Master Lease Agreement on behalf of SLMF."	45. This is correct, but irrelevant.
"46. Mr. Nikkhoo had no authority to enter into any agreements on behalf of SLMF."	46. This is not correct. Further, the agreements in question have been ratified by SLMF and performed by both parties.
"47. Mr. Nikkhoo did not negotiate these agreements with anyone. He represented both SLMF and Sea-Land."	47. It is correct but irrelevant that there was no detailed negotiation between Sea-Land Service and SLMF. It would be ludicrous for Sea-Land to engage in lengthy negotiations with its wholly-owned subsidiary. The agreements were fair and reasonable to both corporations.
"48. Mr. Niemann, who signed the agreements on behalf of Sea-Land, did not know what was in the agreements and did not review them."	48. This is correct but irrelevant. Mr. Niemann had signature authority, and the agreements have been accepted, ratified and performed by Sea-Land.
"49. Mr. Niemann was asked to sign the documents by Mr. Nikkhoo, who Mr. Niemann thought was acting on behalf of Sea-Land."	49. This is correct, but irrelevant.
"50. Mr. Niemann signed all of the agreements in January of 1991."	50. This is correct, but irrelevant.
"51. When Mr. Niemann obligated Sea-Land under the Division of Revenue Agreement, he exceeded his signature authority."	51. This is incorrect. It also is irrelevant, and Sea-Land has, in any event accepted, ratified and performed under the Agreement.

"52. When the Master Lease Agreement was initially signed, SLMF was obligated to pay Sea-Land \$10 per trip."	52. This is correct, but irrelevant.
"53. Mr. Nikkhoo and Mr. Niemann signed an amended Addendum to this agreement which raised the rate to \$50 per trip and agreed to apply it retroactively. This decreased SLMF's revenues by approximately \$4.9 million."	53. It is correct that the agreement was amended to provide a \$50 charge, and that this change applied retroactively. Sea-Land disputes the last sentence, which is in any event unclear as to whether gross or net revenues are involved.
"54. No invoices were ever prepared pursuant to the Division of Revenue Agreement or the Master Lease Agreement until November, 1990, and no cash was ever paid by either company."	54. This is correct but irrelevant, since neither an invoice nor a cash payment is necessary in dealings between a parent company and its wholly-owned subsidiary.
"55. Under the two land Sub-lease agreements, SLMF leased only .5 acres in each of the Ports of Long Beach and Oakland. This space is insufficient to operate the service allegedly provided."	55. The space leased is described in the agreements. To the extent that the term, "in . . . the Ports of Long Beach and Oakland" suggests that the spaces were inside Sea-Land's marine terminal gates, Sea-Land denies this. Sea-Land also denies that the space is or was insufficient.
"56. The effective date of these leases was January 1, 1991, more than 18 months after SLMF began operating at the facility in Oakland."	56. This is correct.
"57. Both the Shipper's Imperial facility in Oakland and the 669 Panorama Drive facility in Long Beach are marine terminals subject to the jurisdiction of the FMC."	57. This is an incorrect legal conclusion, not a fact. Both facilities are off-dock CYs operated by non-longshore employees. Neither facility is a marine terminal and neither facility is operating as a "marine terminal" subject to FMC jurisdiction in the domestic offshore trade to Guam.

"58. When containers are delivered either to Shipper's Imperial in Oakland or 669 Panorama drive in Long Beach, they are received by Sea-Land employees."	58. It is correct that these facilities are manned by Sea-Land Service employees on behalf of Sea-Land Motor Freight in accordance with agreements between these companies.
"59. In Oakland, there is no interchange between the SLMF driver and Sea-Land at the marine yard gate. The only interchange occurs between the shipper's trucker and the Sea-Land employee at Shipper's Imperial."	59. It is correct that Sea-Land does not issue separate equipment interchange receipts to SLMF drivers for each chassis or trailer delivered to the marine terminal. Such receipts are not necessary in relationships with wholly-owned subsidiaries, especially where master agreements exist between the companies.
"60. All SLMF drivers are Sea-Land employees and are paid by Sea-Land and SLMF never paid Sea-Land anything for the use of these drivers."	60. It is correct that SLMF leases trucks from Sea-Land with drivers employed by Sea-Land. It is <u>not</u> correct that SLMF is not charged by Sea-Land for the services of these drivers as part of the lease. SLMF is so charged, and this is reflected in its financial records.
"61. At both Shipper's Imperial and 669 Panorama Drive, dispatchers who are employed by Sea-Land, dispatch SLMF trucks just as they have been doing for several years prior to the organization of SLMF."	61. This is not correct. Prior to the organization of SLMF and the inauguration of Sea-Land's through service in the Guam trade, Guam-bound goods moved straight through the marine terminal, and not via the Shipper's Imperial and 669 Panorama Drive facilities.
"62. Virtually all functions undertaken by SLMF are handled by Sea-Land employees except those performed by the two SLMF employees."	62. It is correct that all functions not handled by the two SLMF employees are handled by Sea-Land employees. It also is correct that services of Sea-Land employees are covered by an administrative services agreement between the companies, for which Sea-Land Service is compensated by SLMF. Further, some of these employees also were officers and/or directors of SLMF.

"63. In Oakland, the SLMF employee has filled in for Sea-Land personnel when needed by Sea-Land."	63. This is correct but irrelevant. There obviously is a close working relationship between the two SLMF employees and their counterparts in Sea-Land.
"64. Sea-Land personnel act in the place of the two SLMF employees when they are not at work."	64. This also is correct but irrelevant, and reflects no more than a close cooperative relationship.